International Airlines Group

FY2025 · Network airline · reporting currency EUR · peer group: Network airlines

Ratings: S&P BBB (stable), Moody's Baa2 (stable), as at 26 Feb 2026

Credit tearsheet
12 Nov 2026

SNAPSHOT

International Airlines Group, the owner of British Airways, Iberia and Aer Lingus, grew revenue by **3.5%** to **EUR 33.2bn** in FY2025, a year in which industrial action and supply-chain constraints disrupted operations.

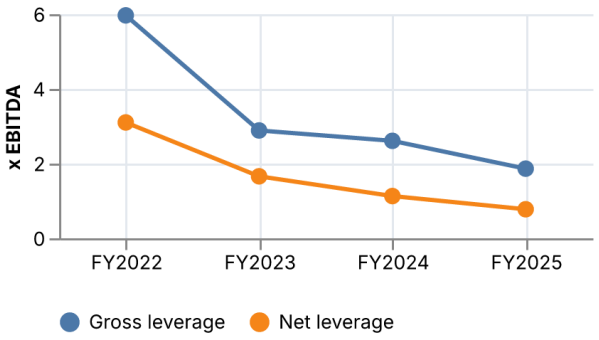
The EBITDA margin widened by **2.3 points** to **23.0%** and net leverage fell by **0.35x** to **0.78x**, the lowest of the network peers (**1st of 3**).

The point to watch is liquidity: cash liquidity to revenue fell by **5.6 points** to **25.0%** as cash was returned to shareholders.

KEY FIGURES

	FY2022	FY2023	FY2024	FY2025
Revenue	EUR 23.1bn	EUR 29.5bn	EUR 32.1bn	EUR 33.2bn
EBITDA	EUR 3.3bn	EUR 5.6bn	EUR 6.6bn	EUR 7.7bn
EBITDA margin	14.5%	18.9%	20.7%	23.0%
Total debt	EUR 20.0bn	EUR 16.1bn	EUR 17.3bn	EUR 14.3bn
Net debt	EUR 10.4bn	EUR 9.2bn	EUR 7.5bn	EUR 5.9bn
Net leverage	3.10x	1.66x	1.13x	0.78x
Gross leverage	5.97x	2.89x	2.61x	1.86x
Interest coverage	4.10x	5.54x	8.70x	11.49x
FFO to debt	12.0%	26.6%	32.5%	45.5%
Free cash flow	EUR 979m	EUR 1.3bn	EUR 3.6bn	EUR 3.1bn
FCF to debt	4.9%	8.2%	20.5%	22.1%
FCF after leases	EUR 361m	EUR 669m	EUR 2.4bn	EUR 1.8bn
Capex intensity	16.8%	11.1%	8.8%	10.4%
Liquidity	EUR 12.9bn	EUR 11.2bn	EUR 13.2bn	EUR 10.9bn
Liquidity to revenue	55.9%	38.2%	41.2%	33.0%
Short-term debt cover	4.53x	3.78x	3.81x	3.59x

LEVERAGE



LIQUIDITY AGAINST MATURITIES



CREDIT METRICS

EBITDA increased by **15.1%** to **EUR 7.7bn**, and operating profit rose by **17.3%** to **EUR 5.0bn** even as depreciation, amortisation and impairment grew by **11.2%**.

Total debt was reduced by **17.7%** to **EUR 14.3bn** and net debt by **20.9%** to **EUR 5.9bn**, taking gross leverage down by **0.75x** to **1.86x**.

Interest coverage improved by **2.79x** to **11.49x** as finance costs fell by **6.1%** to **EUR 861m**.

FFO rose by **15.3%** to **EUR 6.5bn**, lifting FFO to debt by **13.0 points** to **45.5%**.

Free cash flow fell by **11.5%** to **EUR 3.1bn** as capex rose by **22.2%** to **EUR 3.4bn**, although FCF to debt still improved by **1.6 points** to **22.1%** on the smaller debt base.

Revenue: As reported in the income statement (IFRS tag ifrs-full:Revenue).

EBITDA: Operating profit + depreciation, amortisation and impairment, excluding the share of associates' results where the company reports it inside operating profit.

EBITDA margin: EBITDA ÷ revenue.

Total debt: Borrowings + lease liabilities, current and non-current.

Net debt: Total debt − cash and cash-like investments. Negative means net cash.

Net leverage: Net debt ÷ EBITDA. Not meaningful (n.m.) when EBITDA is zero or negative.

Gross leverage: Total debt ÷ EBITDA. n.m. when EBITDA is zero or negative.

Interest coverage: EBITDA ÷ interest expense (lease interest included); interest paid where interest expense isn't tagged, or finance costs where interest paid is printed net of interest received. n.m. when EBITDA or interest is zero or negative.

FFO to debt: FFO ÷ total debt.

Free cash flow: Cash from operations − purchases of PP&E and intangibles (cash paid).

FCF to debt: Free cash flow ÷ total debt.

FCF after leases: Cash from operations − net capex − lease principal payments − interest paid where the company shows it in financing cash flows.

Capex intensity: Purchases of PP&E and intangibles ÷ revenue.

Liquidity: Cash + cash-like investments + undrawn committed facilities.

Liquidity to revenue: Liquidity ÷ revenue.

Short-term debt cover: Liquidity ÷ debt due within one year.

OPERATING METRICS

	FY2022	FY2023	FY2024	FY2025
Passengers	*n.a.*	*n.a.*	122.0m	121.6m
ASK	263.6bn	323.1bn	343.3bn	351.4bn
Load factor	*pending*	*pending*	86.5%	85.6%
RASK (euro cents)	8.75	9.12	9.35	9.45
CASK (euro cents)	8.27	8.03	8.10	8.02
Fuel share of costs	28.1%	29.1%	27.4%	25.1%
Advance ticket cover	76.2%	113.6%	84.8%	96.6%

Capacity grew by **2.4%** to **351.4bn** available seat kilometres, while traffic was broadly unchanged, with RPK stable at **300.8bn** and passengers stable at **121.6m**.

Unit revenue improved: RASK rose by **1.1%** to **9.45 euro cents** and passenger yield by **1.1%** to **9.63 euro cents**.

CASK fell by **1.0%** to **8.02 euro cents**, but CASK ex-fuel rose by **2.0%** to **6.01 euro cents** as fuel cost declined by **6.9%** to **EUR 7.1bn** and its share of costs eased by **2.3 points** to **25.1%**.

The fleet grew by **4.3%** to **627** aircraft at an average age of **12.6 years**, broadly unchanged, with engine availability constraining British Airways' Middle East schedule.

PEERS: NETWORK AIRLINES, PEER YEAR 2025

	AF-KLM	IAG	Finnair	Median
EBITDA margin	15.3% (2)	**23.0%** (1)	13.1% (3)	15.3%
Net leverage	1.71x (2)	**0.78x** (1)	1.77x (3)	1.71x
Gross leverage	3.07x (2)	**1.86x** (1)	4.37x (3)	3.07x
Interest coverage	8.06x (2)	**11.49x** (1)	4.98x (3)	8.06x
FFO to debt	27.4% (2)	**45.5%** (1)	18.0% (3)	27.4%
FCF to debt	3.9% (3)	**22.1%** (1)	10.8% (2)	10.8%
Capex intensity	13.5%	**10.4%**	6.7%	10.4%
Cash liquidity to revenue (partial)	20.8% (3)	**25.0%** (2)	34.2% (1)	25.0%
Liquidity to revenue	*pending*	**33.0%** (2)	40.6% (1)	36.8%
Advance ticket cover	62.2% (1)	**96.6%** (3)	67.4% (2)	67.4%
Fuel share of costs	*n.a.*	**25.1%**	28.9%	27.0%
Load factor	*n.a.*	**85.6%** (1)	*pending*	85.6%
Fuel hedge ratio	*n.a.*	*n.a.*	*n.a.*	n.a.

IAG leads the network airlines on leverage and cash generation, with the lowest net leverage (**1st of 3**) and gross leverage (**1st of 3**) and the highest FFO to debt (**1st of 3**).

Its EBITDA margin is the highest of the group (**1st of 3**), well above the peer median of **15.3%**, and interest coverage also ranks at the top (**1st of 3**).

The weakest point is customer prepayment cover, where advance ticket cover is the highest of the group (**3rd of 3**) against a peer median of **67.4%**, while capex intensity and cash liquidity to revenue sit in the middle of the group.

LIQUIDITY AND FUNDING

Liquidity fell by **17.2%** to **EUR 10.9bn**, of which **EUR 2.6bn** in undrawn committed facilities, down **22.7%**, and cash and cash-like investments of **EUR 8.3bn**.

Debt due within one year was reduced by **12.3%** to **EUR 3.0bn**, covered **3.59x** by liquidity, and borrowings due within two years of **EUR 4.1bn** are covered **2.68x** by liquidity, so near-term maturities are met without new funding.

Free cash flow after lease payments, the comparable measure of cash left for debt holders, fell by **23.9%** to **EUR 1.8bn**, and FCF after leases to debt declined by **1.1 points** to **12.8%** as net capex rose by **53.0%** to **EUR 3.4bn**.

Advance ticket cover rose by **11.8 points** to **96.6%**, while contract liabilities of **EUR 8.0bn** were reduced by **3.6%**, so a larger share of the cash base is customers' prepayments.

WATCH ITEMS

- Liquidity: liquidity to revenue fell by **8.2 points** to **33.0%** and cash liquidity to revenue by **5.6 points** to **25.0%**, in line with the peer median, as cash was returned to shareholders.
- Cash flow after leases: FCF after leases fell by **23.9%** to **EUR 1.8bn** and FCF after leases to debt by **1.1 points** to **12.8%**, as net capex rose by **53.0%**.
- Customer prepayments: advance ticket cover of **96.6%** is the highest of the network peers (**3rd of 3**) and above the peer median of **67.4%**, a sensitivity if bookings slow.
- Near-term maturities: short-term debt cover eased by **0.22x** to **3.59x** as liquidity fell by **17.2%** to **EUR 10.9bn**.

ANALYST VIEW

Written by the analyst; never drafted by the AI.

Passengers: Passengers carried (airlines) or handled (airports), scope defined per company.
ASK: Available seat kilometres.
Load factor: RPK ÷ ASK.
RASK: Revenue ÷ ASK.
CASK: (Revenue – operating profit) ÷ ASK.
Fuel share of costs: Fuel cost ÷ (revenue – operating profit).
Advance ticket cover: Advance ticket sales ÷ cash and cash-like investments (how much of the cash is customers' prepayments).
Cash liquidity to revenue (partial): Cash liquidity ÷ revenue, without undrawn facilities.
Fuel hedge ratio: Share of the next twelve months' fuel needs hedged.
pending: a figure read from the report text that has not passed every check, awaiting the analyst's review; never printed as a number.
n.a.: not available for that year.

Sources: FY2022 filing · FY2023 filing · FY2024 filing · FY2025 filing. Peers' filings and every fingerprint: Excel backup, Manifest sheet.

Manifest: 117 source figures from 12 filings and documents (SHA-256 in the Excel backup); commentary drafted by deepseek-flash, prompt draft-v7 + draft-v8 (liquidity_funding, watch_items), fact sheet e9efd4675603; code 3fab783006ba; exported 2026-11-12 16:21 UTC.

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